Liberalism has much to say about economics, too. In the economic sphere, liberalism upholds the principles of the free market. While liberal politics says that “the voter knows best,” and liberal ethics maintains that “if it feels good – do it,” liberal economics argues that “the customer is always right,” and that there is no economic authority higher than the desires of the customer. According to free-market principles, one corporation succeeds while another goes bankrupt because the customers voted for them with their credit cards. If the corporation provides services and products the customers want – it succeeds. If it disregards the wishes of the customers – it fails.

In medieval Europe, things worked quite differently. Guilds controlled the production process, leaving little room for the initiative or taste of individual artisans and customers. The carpenters’ guild determined what was a proper chair; the bakers’ guild defined good bread; and the Meistersinger guild decided which songs were first-class and which were rubbish. Meanwhile princes and city councils regulated salaries and prices, occasionally forcing people to buy fixed amounts of goods at a non-negotiable price. But in the liberal free market all these guilds, councils, and princes have been superseded by a new supreme authority – the free will of the customer.

Suppose a large corporation or a government decides to produce the perfect car. It sets up a committee of experts from various fields: it hires the best engineers and designers, brings together the finest physicists and economists, and even consults with several sociologists and psychologists. To be on the safe side, they throw in a Nobel laureate or two, an Oscar-winning actress, and some world-famous artists. After five years of research and development, they unveil the perfect car. Millions of vehicles are produced, and shipped to car dealerships across the world. Yet nobody buys the car. Does it mean that the customers are making a mistake, and that they don’t know what’s good for them? No. In a free market the customer is always right. If customers don’t want it, it means that the car is no good. It doesn’t matter if all the university professors and all the priests and mullahs cry out from every lectern and pulpit that this is a wonderful car – if the customers reject it, it’s a bad car. In a liberal free market nobody has the authority to tell customers that their feelings are wrong, and force them to buy a particular car against their will.